

1. On January 10, 2025, **Kertinam** and **Sarem** form a partnership to provide **online training** services. Kertinam contributes cash of **€40,000** as well as a piece of equipment valued at **€23,680**. Sarem contributes cash of **€80,820** as well as a vehicle valued **€99,800**. The partnership also assumed responsibility for Sarem's long-term **note payable** of **€22,300** related to the vehicle.

Required:

- A) Prepare the journal entry to record **Kertinam's** initial capital investment.
 - B) Prepare the journal entry to record **Sarem's** initial capital investment.
 - C) If net income is **€42,000**, prepare the journal entry to allocate income between the two partners (assume the partnership agreement state that net income should be divided 1/3 for **Sarem** and 2/3 for **Kertinam**.)
 - D) Different scenario: If net income is **€42,000**, prepare the journal entry to allocate income between the two partners (assume the partnership agreement states that net income should be divided based on initial capital contributed.)
2. **Rediet and Sarem's Partnership**

At the beginning of 2025, **Rediet** has a capital balance of **Birr 60,000** and **Sarem** has a capital balance of **Birr 90,000**. The partnership of Rediet and Sarem earned a total net income of **Birr 100,000** in 2025. Prepare the ONE journal entry to allocate net income between the two partners if the partners have agreed on the following:

1. **Rediet** and **Sarem** will receive annual salary allowances of **Birr 50,000** and **Birr 30,500** respectively.
2. A 1% interest allowance will be paid on each partner's beginning capital balance.
3. Remainder will be shared with **3:2 ratio**.

Prepare the journal entry to allocate net income if everything above was the same but the partnership instead had a net income of **Birr 145,000**.

3. **Heran** and **Shemsia** are partners in operating a store. Without consulting **Heran**, **Shemsia** enters into a contract to purchase merchandise for the store. **Heran** contends that she did not authorize the order and refuses to pay for it. The vendor sues the partners for the contract price of the merchandise.

- A) Must the partnership pay for the merchandise? Why?
- B) Does your answer differ if **Heran** and **Shemsia** are partners in a public accounting firm? Explain.